

FORM TP 2017130



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CARIBBEAN EXAMINATIONS COUNCIL

CARIBBEAN ADVANCED PROFICIENCY EXAMINATION®

ACCOUNTING

UNIT 2 – Paper 02

2 hours 45 minutes

12 MAY 2017 (a.m.)

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This paper comprises THREE questions. Answer ALL questions.
2. Write your answers in the booklet provided.
3. You may use a silent, non-programmable calculator to answer questions.
4. ALL working must be clearly shown.

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02201020/CAPE 2017

MODULE 1
COSTING PRINCIPLES

1. Orchid Enterprise has presented the following balances for the year ended 31 December 2016.

	\$	\$
Direct expenses	58 000	
Salaries and wages	250 000	
Carriage outwards	12 000	
Rent	280 000	
Utilities	300 000	
Opening stock of raw material	22 000	
Opening stock of finished goods	18 000	
Opening stock of work in progress	6 500	
Purchases of raw material	340 000	
Purchases of finished goods	98 000	
Carriage inwards on raw material	15 000	
Carriage inwards on finished goods	6 000	
Factory machinery at cost	580 000	
Provision for depreciation on factory machinery		80 000
Selling and distribution costs	72 000	
Ordinary shares at \$2		800 000
Retained earnings		420 000
Motor vehicles	280 000	
Provision for depreciation on motor vehicles		80 000
Return outwards on finished goods		16 000
Sales		973 500
Cash and cash equivalents	15 000	
Provision for unrealized profits		1 000
Trade receivables	33 000	
Trade payables		15 000
	<u>2 385 500</u>	<u>2 385 500</u>

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Additional information:

- Closing stock: raw material \$12 000; finished goods \$5 000; work in progress \$4 500.
- Rent owing \$10 000; utilities prepaid \$20 000.
- Rent and electricity are apportioned based on percentage occupancy of the building. The factory occupies 70% of the building while the office occupies the remaining portion.
- Provide for depreciation as follows:

Factory machinery – 5% on reducing balance

Motor vehicles – 10% of cost

The motor vehicles are used only for delivering finished goods to customers.

- Salaries and wages for the year should be apportioned as follows:

Amount that can be traced directly to the production of the goods	\$ 170 000
Amount for factory supervisors	\$ 30 000
Amount attributable to administrative functions	\$ 50 000

- (a) Prepare a schedule of the cost of goods manufactured for the year ending 31 December 2016. **[17 marks]**
- (b) Orchid Enterprise was recently approached by a customer requesting to buy 2 000 units of its product for \$200 each. The product is currently sold for \$380 per unit and the company has the capacity to produce the additional 2 000 units. The following unit cost data has been gathered by the company:

Direct material	\$80
Direct labour	\$50
Factory overhead (60% variable)	\$90
Selling and administrative expenses (25% fixed)	\$40

- (i) Identify the unit costs which will be relevant to the decision to be made by Orchid Enterprise and calculate the total unit cost. **[5 marks]**
- (ii) Should the company accept the special order? Justify your answer. **[3 marks]**

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- (c) The inventory record for raw materials purchased by Orchid Enterprise for the month of March 2016 showed the following.

01 March	Balance brought forward	800 units @ \$53.00
01 March	Disbursed to production	300 units
09 March	Purchases	1100 units @ \$47.00
11 March	Disbursed to production	600 units
22 March	Disbursed to production	400 units
23 March	Purchases	800 units @ \$50.00
25 March	Purchases	300 units @ \$54.00
28 March	Disbursed to production	1200 units @ \$54.00

Compute the value of the closing inventory of raw materials for March 2016 using the following inventory valuation methods:

- (i) First-in, first-out (FIFO) [3 marks]
- (ii) Average cost [3 marks]
- (d) List TWO principles of material control and give an example of EACH principle. [4 marks]

Total 35 marks

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MODULE 2

COSTING SYSTEMS

2. (a) Peyton Manufacturing has estimated the following overhead costs and activity drivers for the next financial year.

Activity Level	Estimated Cost (\$)	Activity Driver
Setup cost	650 000	Number of setups – 800
Maintenance	800 000	Machine hours – 20 000
Inspection	500 000	Number of inspections – 25 000

Overheads are currently applied using direct labour hours and an expected capacity of 100 000 direct labour hours. The company has been invited to bid on a job, XYZ, to manufacture 600 units and has assembled the following data relating to the job:

Direct materials	\$15 000
Direct labour	\$ 6 000
Number of setups	4
Machine hours	120
Number of inspections	7
Direct labour hours	300

- (i) Name and describe ONE costing system, other than activity-based costing, which may be used to cost job XYZ. **[4 marks]**
- (ii) Calculate the unit cost for job XYZ using activity-based costing. **[9 marks]**

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- (b) Peyton Manufacturing has provided the following cost data for the only product it manufactures:

Selling price	\$80 per unit
Direct materials	\$25 per unit
Direct labour	\$10 per unit
Variable factory overhead	\$5 per unit
Fixed factory overhead	\$2 200 000
Fixed selling and administrative cost	\$800 000

The planned production level for the year is 275 000 units. The number of units produced and sold in 2016 was 200 000 and 180 000 respectively. There was no opening inventory in 2016.

Prepare the income statement for 2016 using:

- (i) Marginal costing **[8 marks]**
 - (ii) Absorption costing **[10 marks]**
- (c) Explain the difference between 'absorption costing' and 'marginal costing'. **[4 marks]**

Total 35 marks

MODULE 3

PLANNING AND DECISION-MAKING

3. Spencer Manufacturing produces dining tables and chairs. The selling price for each set of table and chairs is \$250 000. Variable manufacturing cost is \$158 000 per unit and variable selling cost is 4% of the selling price. Annual fixed manufacturing cost is \$25 420 000.

(a) Calculate the following:

(i) Break even point in units [6 marks]

(ii) Break even point in dollars (\$) [3 marks]

(b) The estimated standard costs for direct material and direct labour for a set of table and chairs are as follows.

	Direct Materials	Direct Labour
Standard quantity per unit	1 500 sq ft	20 hours
Standard price	\$100 per sq ft	\$400 per hour

During June 2015, the company's cost data for the actual production of 50 sets of dining tables and chairs were as follows.

	Direct Materials	Direct Labour
Actual quantity	77 500 sq ft	900 hours
Actual price	\$95 per sq ft	\$420 per hour

Calculate the following:

(i) Direct material price variance [2 marks]

(ii) Direct material quantity variance [2 marks]

(iii) Total direct material cost variance [2 marks]

(iv) Direct labour rate variance [2 marks]

(v) Direct labour efficiency variance [2 marks]

(vi) Total direct labour cost variance [2 marks]

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- (c) Outline FIVE roles of a budget committee. **[5 marks]**
- (d) Spencer Manufacturing is contemplating buying a new machine to be used in its furniture production. The machine will cost \$300 000 and has no salvage value after five years. The use of this machine will increase annual cash profits as follows:

Year	Increase in Cash Profits \$
1	80 000
2	150 000
3	210 000
4	190 000
5	120 000

The company has a cost of capital of 6%. The present value of \$1 discounted over a period at the rate is shown below.

Period	Present Value Interest Factor (PVIF)
0	1.000
1	0.943
2	0.890
3	0.840
4	0.792
5	0.747

- (i) Compute the net present value (NPV) of this investment. **[7 marks]**
- (ii) Based on the NPV, state whether you would recommend that the machine be purchased and why. **[2 marks]**

Total 35 marks

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.